

CHILE'S GREEN HYDROGEN TAX CREDIT BILL

“Proyecto de Ley de Fomento a la Industria
del Hidrógeno Verde”

ENERGY ECONOMICS
PRESENTATION
Oana Ionescu

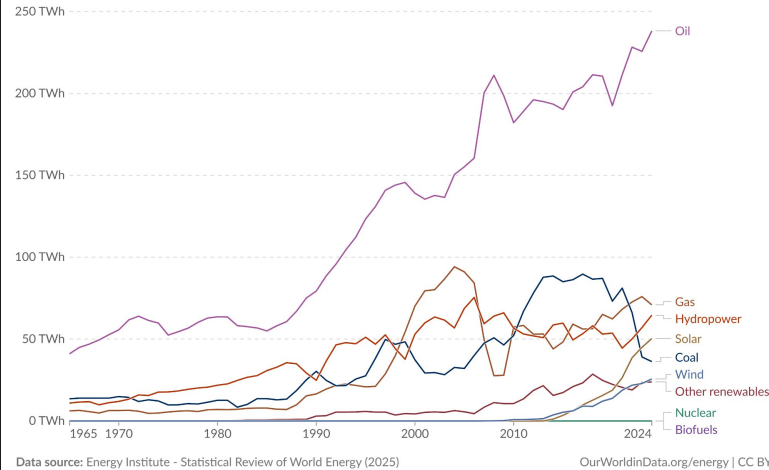
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THE CASE OF CHILE

Primary energy consumption by source, Chile

Primary energy is measured in terawatt-hours, using the substitution method.



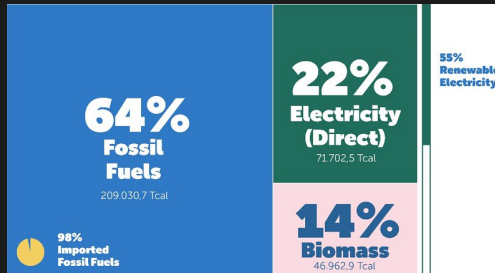
Chile faces significant challenges in decarbonising its energy sector, as it is still highly dependent on fossil fuels: 64% of final energy consumption comes from fossil sources, not including fossil fuels used for electricity generation.

This sector is responsible for 76% of the country's total greenhouse emissions

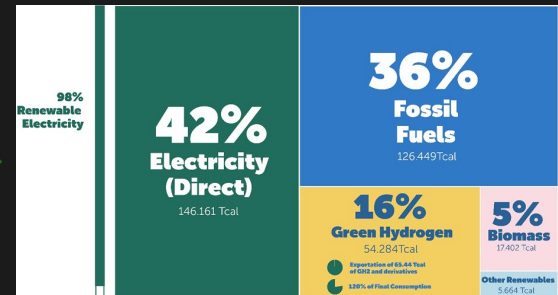
Therefore, it came up with its **2023–2030 Green Hydrogen Action Plan** to develop Chile's green hydrogen industry over the next seven years

Source: <https://ourworldindata.org/co2-and-greenhouse-gas-emissions>

CURRENT PLAN



2050 PLAN



The Chamber of Deputies approves the bill to promote the Green Hydrogen Industry and sends it to the Senate



The initiative establishes a temporary tax benefit of US\$2.8 billion to promote the development of the industry by incentivizing demand for green hydrogen and its derivatives. It also proposes a special tax framework for producers who establish operations in the Magallanes and Chilean Antarctic Region.



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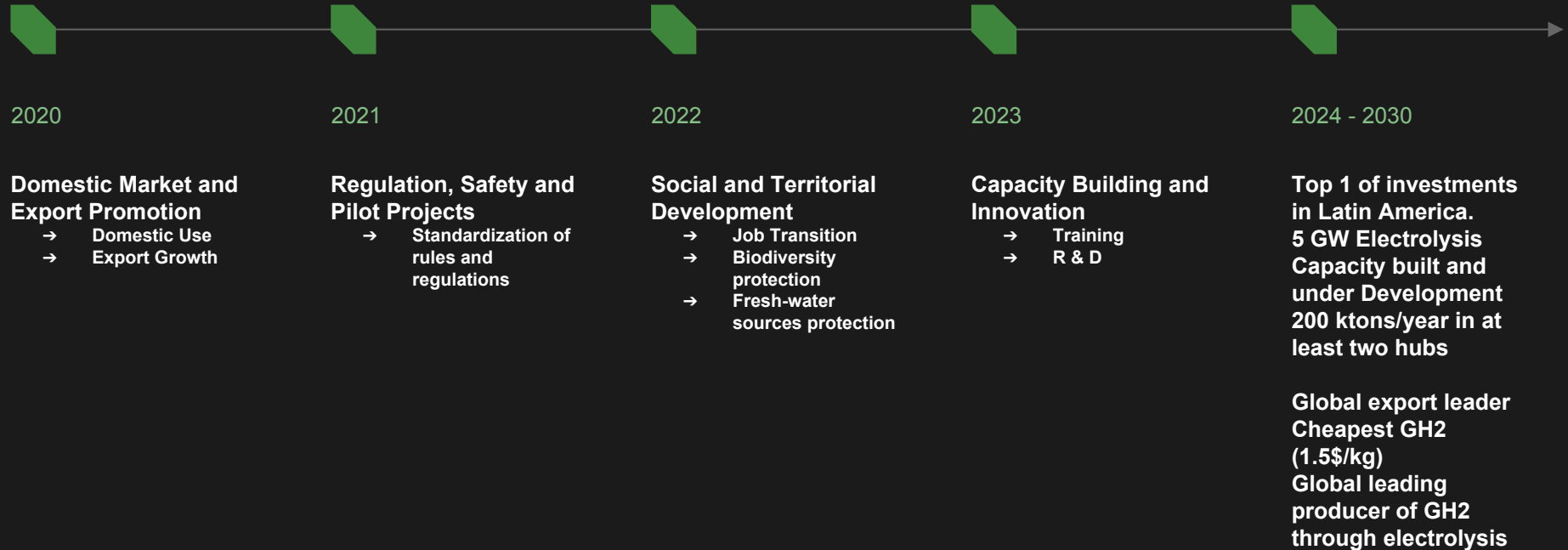
CHILE'S HYDROGEN SOLUTION

On August 18, 2025, the Executive Branch submitted to the Chamber of Deputies a bill that seeks to promote the production of green hydrogen (H₂V) and its derivatives in Chile, through a special regime of tax benefits.

On December 3, 2025 Chile's Chamber of Deputies, the lower house of Congress, passed a green hydrogen bill that will provide \$2.8bn in tax credits for renewable molecules.

This project reinforces Chile's strategy to position itself as a regional leader in the energy transition, encouraging investment in green hydrogen with clear, long-term incentives

Action Plan



CHILE'S GREEN HYDROGEN TAX-CREDIT BILL: THE BIG PICTURE

Tax Credit for Green Hydrogen Buyers

The law establishes a **transitory tax credit worth up to US \$2.8 billion**. Companies that purchase **green hydrogen (H2V)** or its derivatives from Chilean producers can use this credit against their corporate (first category) tax. The bill proposes the creation of a credit against the first category income tax, provided these are used in local productive processes.

The purpose is to lower the cost of purchasing green hydrogen, which is higher than conventional fuels and thus *stimulate local demand*.

Tax credits will be allocated via annual competitive tenders between 2025 and 2030, administered by the H2V Benefit Allocation and Compliance Committee under a competitive mechanism.

KEY FEATURES OF THE BILL

BIDDING AND ALLOCATION

Producers would submit bids in \$/kg of green hydrogen. Awards would prioritize applicants requiring the lowest credit per kilo. In the event of a tie, preference would be given first to projects allocating a higher production volume to local consumption, and second, to those assigning a higher relative share to the domestic market.

CREDIT USE AND ASSIGNMENT

Awarded producers must transfer the benefit to Chile-domiciled purchasers, who can apply it against their first category tax for the year of acquisition or subsequent years until fully used. Invoices must expressly indicate the credit applied, which will remain valid for ten years from the start of production, provided this begins within five years of the award.

GOVERNANCE AND OVERSIGHT

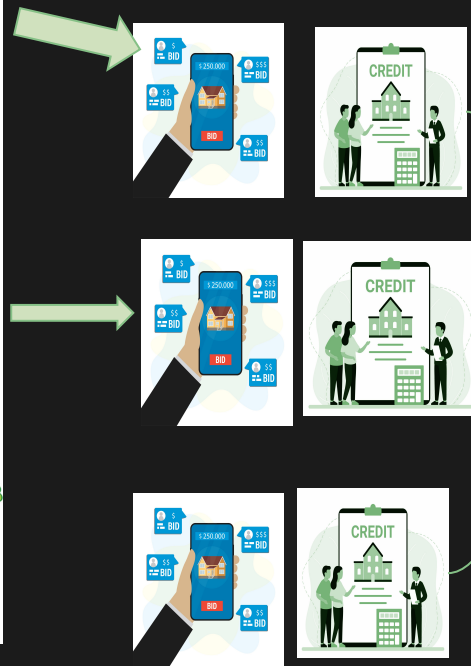
The H2V Benefit Allocation and Compliance Committee—composed of representatives from the Ministries of Finance, Economy, and Energy—will manage bidding and monitor compliance. Members will serve without additional compensation.

LIMITS AND FLEXIBILITY

The bill sets an annual maximum amount of credits, allowing unused amounts to roll over to the following year. Exceptionally, if annual credits are exhausted and bids below USD 1/kg remain, these may be awarded using credits allocated for the final year of the benefit period.



Green Hydrogen Producers



Purchasers



Government Tax Credit Pot

Total= \$2.8 Billion

TAX TIME!

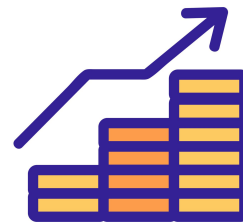




lowest \$/kg

Volume of eligible
production

domestic/local
consumption



**H2V Benefit
Allocation &
Compliance
Committee**

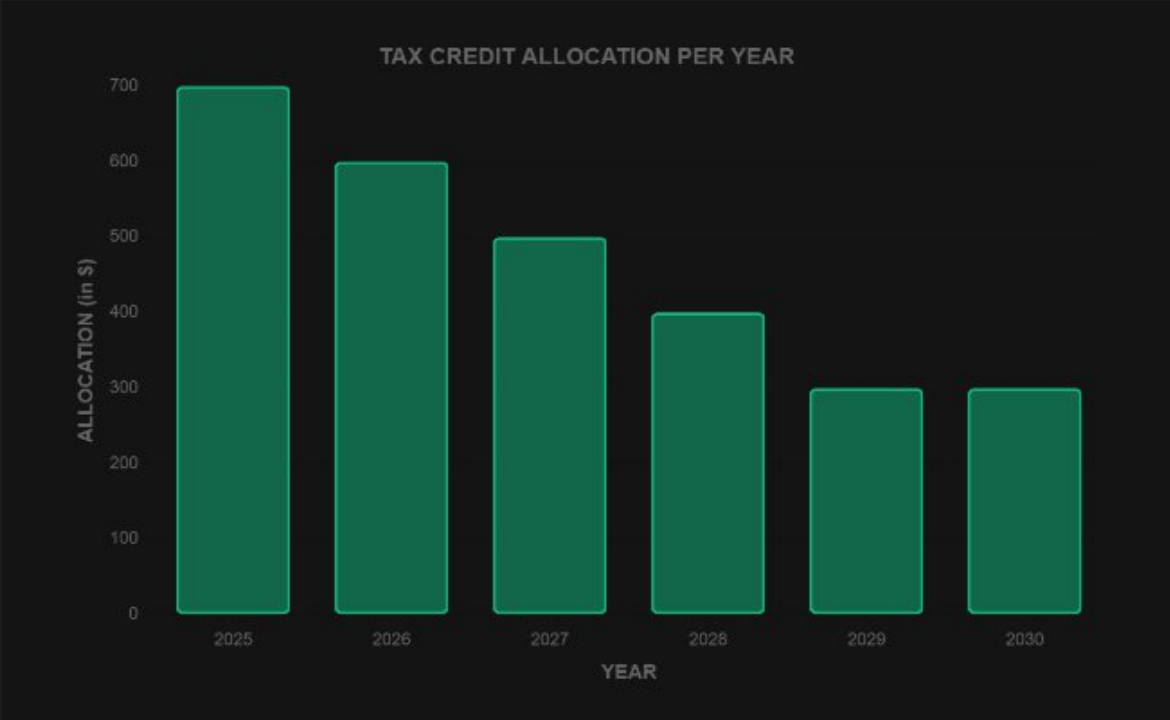


GREEN HYDROGEN ICON





**TOTAL GOVERNMENT
ALLOCATION \$2.8
BILLION**



THE MAGALLANES AND CHILEAN ANTARCTIC REGION



The Magallanes and Chilean Antarctic Region is Chile's southernmost territory

- **one of the most sparsely populated areas in the country.**
- **Its remote location and low population density mean there is limited industrial development,**
- **the region has vast renewable energy potential, particularly in strong and consistent wind, all day and night and all year round**
- **These conditions make it an ideal site for large-scale green hydrogen production**
- **To encourage investment, the government offers special incentives, which we would discuss below**
- **By attracting projects here, Chile can harness its natural resources while supporting regional economic growth and local employment.**

SOCIAL OBLIGATIONS FOR PRODUCERS

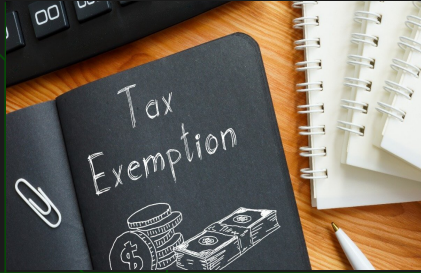
Producers located in Chile's Magallanes region have a special obligation under the law to contribute to local development.

Specifically, they must pay a regional contribution, and this payment is due within one month of receiving their environmental qualification. This ensures that, even as the government grants generous tax incentives, the region benefits directly from new green hydrogen projects.

Essentially, it guarantees early financial support for local infrastructure and community development while promoting investment in one of Chile's most remote but resource-rich areas.



SPECIAL TAX FRAMEWORK FOR THE MAGALLANES AND CHILEAN ANTARCTIC REGION



01

Producers in the region would be exempt from the first category tax



03

Application for the temporary tax benefit under the bill.



02

Eligibility for VAT exemption on capital goods imports

BENEFITS OF THE GREEN HYDROGEN TAX CREDIT BILL TO CHILE



04

Export of Green hydrogen to earn the country foreign exchange
Positioning of Chile as a global green hydrogen leader



06

Reduces high production cost of Hydrogen making it more attractive for buyers



05

Encourages adoption of a clean source of energy
Prioritizes domestic consumption
Supports regional development

LIMITATION OF THE SPECIAL TAX FRAMEWORK



07

Uncertainty around sectoral and environmental permitting processes and timelines



08

Green hydrogen projects require a large infrastructure to be developed



09

Giving tax benefits may be a limited way to develop the industry, due to the limits of the country

WHAT THIS BILL MEANS FOR THE FUTURE OF GREEN HYDROGEN IN CHILE AND LATIN AMERICA



Windy Conditions of Southern Chile



Solar Radiation of the Atacama Desert

DENSYS MASTER ERASMUS MUNDUS

Creation of a new industry

Generation of quality jobs

Productive linkages



Decarbonization



Innovation and Technological Advancements

CONCLUDING QUOTE

“With this approval, we are taking another step towards the goal of making Chile a world leader in the green hydrogen industry, bringing more jobs, more innovation, and more investment, because major productive efforts require continuity and a national vision.”

Finance Minister Nicolás Grau

REFERENCE SOURCES

Chilean Law Firms

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<https://agycia.cl/wp-content/uploads/2025/08/Alerta-Legal-PDL-Incentivos-H2V-2.pdf>

Green Hydrogen Action Plan

https://energia.gob.cl/sites/default/files/documentos/green-hydrogen_action-plan.pdf

Presidential Documents

<https://www.doe.cl/alerta/20082025/202508203007>

THANK YOU!!!

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